

**Before the
Federal Maritime Commission**

Docket No. 22-03

Bed Bath & Beyond v. Orient Overseas Container Line Ltd. and OOCL (Europe) Limited

Respondents' Reply to Complainant's Motion Opposing Confidential Treatment

Respondents Orient Overseas Container Line Ltd. and OOCL (Europe) Limited (“Respondent” or “OOCL”) hereby respond to Bed, Bath and Beyond’s (“Complainant” or “BBBY”) Motion Challenging Respondents’ Confidentiality Designation Of Certain Documents (“Motion”). First, Complainant’s Motion is premature because the Presiding Officer has not granted Complainant’s pending motion to amend its complaint so there is no ripe public interest in removing the confidential designations; second, to order removal of OOCL’s confidential designations would be wholly prejudicial to OOCL; and third, BBBY is no longer in business, so Complainant cannot show any business reason why the designations should be removed from the identified documents.

The essence of Complainant’s Motion is that it wishes to use publicly, in a proposed amended complaint (and who knows where else), highly sensitive commercial information that it received from OOCL. The information was provided by OOCL pursuant to the terms of a Protective Order of confidentiality negotiated at length between the Parties and entered as an Order of the Presiding Officer on July 28, 2023. There is no real reason for the Presiding Officer to even entertain the Motion, because, as Respondent demonstrated in its Reply to Complainant’s Motion for Leave to Amend Complaint, there is no basis to permit the proposed amendment, as it is both

futile and dilatory. Absent an amended complaint, there is no reason for Complainant's Motion and no basis to grant it.

Furthermore, Complainant provides no reason why it cannot proceed efficiently by filing confidential matters under seal, as required by the Protective Order. The reality is that Complainant could readily do so but wants to air the materials publicly to embarrass Respondent and its employees, based on tiny, out of context snippets, perhaps to enhance its perceived bargaining position. And even if Complainants were permitted to file an amended complaint, there is absolutely no legitimate reason, other than embarrassment of OOCL and its employees, that Complainant needs to lard its amended complaint with dozens of repetitive snippets, presented selectively and without context. These are not necessary allegations, but rather purported evidence of alleged violations by OOCL, which BBY could present later as part of its brief, either redacted (as required by the Protective Order) or unredacted if the Presiding Officer so orders. Accordingly, as developed further below, Complainant's Motion is both premature and brought pursuant to an improper motive, contrary to FMC Rule 6(a), 46 C.F.R. § 502.6(a).¹

Respondent shows below why, in addition to the important reasons stated above, the Presiding Officer should deny Complainant's Motion.

ARGUMENT

A. Introduction and Background

As stated above, the Parties negotiated and agreed upon a framework ensuring confidentiality of designated documents and other information and this agreement was approved and entered by the Presiding Officer as a Protective Order. BBY has little need to protect its

¹ An Order stripping the information of confidentiality would also likely create substantial delay in this proceeding, as Respondent would have little alternative other than to seek immediate injunctive relief in federal court under various statutes protecting trade secrets.

information, as it is no longer operating in the industry. But OOCL, by contrast, is an ongoing business. Accordingly, before producing over two hundred fifty thousand pages of documents that BBY demanded, OOCL needed to be sure that its commercially sensitive information would be protected so that OOCL would not be harmed by its production of such information.

The Protective Order provides for two levels of protection:

- “Confidential Information,” defined as “any information that is commercially sensitive and is not publicly known, including information provided by third parties to the producing party or non-party with the expectation that the information remain confidential;” and
- “Attorneys Eyes Only,” or “AEO,” defined as “any information or material whose disclosure to anyone other than outside counsel has a substantial probability of jeopardizing the producing party or non-party’s competitive business interests or the competitive or privacy interests of the producing party or non-party’s suppliers, service providers, customers or clients, or of an individual party in this proceeding. AEO material subject to this Order shall be used solely for purposes of this litigation in accordance with provisions of this Order.”

In reliance on that protection, OOCL produced 254,138 pages of documents. Many of the private documents were marked “Confidential” due to commercial sensitivity. A smaller subset of documents was designated as “Attorneys Eyes Only (AEO)” because they are sufficiently sensitive from a commercial perspective that they should not be made available to employees of BBY who are not subject to the ethical constraints applicable to attorneys.

Complainant did not object to any of the designations at the time such documents were produced. And Respondent has been very reasonable, if not generous, in allowing Complainant to

make use, consistent with the protective order, of information designated as Confidential or AEO. Respondent has, for example, allowed Complainant to show such material both to in-house counsel² and to its expert. OOCL has also allowed Complainant to show confidential documents to witnesses during their depositions. Accordingly, there is no basis for Complainant to now argue it has been hampered in prosecuting its case.

B. The Motion is Premature and Should be Denied

Complainant's Motion should be denied as it is premature. In its attempt to justify the wholesale stripping of confidentiality from the challenged documents, Complainant appeals to the well-worn principle of the public interest in viewing dockets. While there is a "strong presumption in favor of openness as to court records," district courts "may enter a protective order limiting the use or disclosure of discovery materials upon a mere showing of good cause." *Shane Grp., Inc. v. Blue Cross Blue Shield of Michigan*, 825 F.3d 299, 305 (6th Cir. 2016) (citing F.R.C.P. 26(c)(1)). Thus, the Protective Order agreed by the parties and entered by the Presiding Officer exists specifically to balance this public interest.

While we do not doubt that some public interest exists, it must be, and often is, balanced against the potential harm to the party asserting confidentiality. As shown below, the potential harm to Respondent and to its individual employees is substantial, while the harm to Complainant from having to file confidential information in accordance with the FMC Rules is apparently so slight as not to be worth Complainant mentioning.

² In many cases, AEO material is limited to outside counsel, as in-house counsel is also a corporate officer and must pursue the interests of the corporation, potentially involving use, if not disclosure, of confidential information.

Whatever the public interest may be in accessing FMC dockets, it can be better effectuated by the Presiding Officer pursuant to FMC Rule 5(c), 46 C.F.R. § 502.5(c), which Complainant neglects to mention. That Rule states as follows:

Confidential treatment afforded by this section is subject to the proviso that any information designated as confidential may be used by the administrative law judge or the Commission if deemed necessary to a decision in the proceeding

Under this Rule, the Presiding Officer may, at the appropriate time, decide in a fair and balanced manner, what information should appropriately be disclosed to the public and what information continues to deserve protection. That is a more appropriate way to determine the public's interest than to evaluate any number of challenges on the issue by Complainant.

By way of example, in *The Government of the Territory of Guam v. Sea-Land Service, Inc. and American President Lines, Ltd.*, prior to the briefing stage of an adjudication, ALJ Dolan denied the complainant's request to declassify a portion of business information it had received in discovery from respondents, which was marked confidential under a blanket or umbrella protective order and which the parties could not agree to declassify. 26 S.R.R. 1550, 1551 (ALJ 1994). The ALJ was persuaded by the argument that "there are problems if declassification occurs over [respondents'] objections before briefs are filed and a final decision is reached on the merits of the complaint. They would be in a dilemma. If it opted to allow its information to be disseminated to the public, [Respondents] would have no adequate remedy if the Commission were later to uphold its position" and rule in its favor. *Id.* at 1555. ALJ Dolan also found that, having shown serious competitive harm would result from the sought disclosure, the question became whether the harm caused would be outweighed by the need of the party seeking disclosure and the presumption of public access. *Id.* at 1557. The ALJ found that these needs would be met *when a decision on the merits of the substantive issues in the complaint is made* but until that time, there was no adequate

reason for premature disclosure of the classified information. *Id.* (emphasis added). He upheld this determination in a later ruling, finding GovGuam had not shown sufficient good reason to warrant removing certain information from the ambit of the protective order. FMC Docket No. 89-26, 27 SRR 517 (ALJ 1996)(Renewed Motion for Declassification of Information Classified as Confidential Under the Protective Order Denied). Precisely this same analysis applies here as OOCL would have no adequate remedy at law if the documents are disclosed prior to decision, which OOCL firmly believes should be resolved in OOCL's favor. Once out the bottle, the vacuous snippets could disseminate anywhere.

C. The Documents Were Properly Designated as AEO/Confidential

There is significant legal support for the right of parties to agree to a Protective Order and to designate documents produced thereunder as Confidential or AEO. Federal Rule of Civil Procedure 26 provides that:

The court may, for good cause, issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense, including ... requiring that a trade secret or other confidential research, development, or commercial information not be revealed or be revealed only in a specified way.

Fed. R. Civ. P. 26(c)(1)(G). Generally, courts may issue protective orders “for good cause to protect the supplying owner of proprietary information from any competitive harm owing to the use of such proprietary information outside of the litigation in which it was disclosed.” *Ross-Hime Designs, Inc. v. United States*, 109 Fed. Cl. 725, 731 (2013). In this context, courts have explained that “competitive harm may result” if the party who will have access to “the proprietary information is involved in competitive decision-making.” *Id.*

Complainant does not cite a single Commission precedent where an Administrative Law Judge granted a challenge to a confidentiality designation under an agreed Protective Order, and

we have also not found any such cases. The only FMC case cited by Complainant, *Intermodal Motor Carriers Conference, Am. Trucking Ass'ns, Inc., Complainant v. Ocean Carrier Equip. Mgmt. Assoc. Inc. et al.*, Docket No. 20-14, 2023 WL 1963455, at *11 (Fed. Mar. Comm'n ALJ Feb. 6, 2023), did not involve removing a party's designations from information. There, the Presiding Officer considered allegations of over-designations by both parties, but such over-designations are easily distinguishable from the facts at hand. The parties in that case sought to designate entire expert witness reports, testimony and whole deposition transcripts as confidential, which the Presiding Officer deemed was excessive and ordered both parties to limit their use of such designations. OOCL's designations in this case are justified, as set forth in Respondent's Exhibit A.

Courts have acknowledged that AEO designations are the most restrictive of such designations. *K & M Int'l, Inc. v. NDY Toy, L.L.C.*, No. 1:13CV771, 2015 WL 520969, at *4 (N.D. Ohio Feb. 9, 2015) *aff'd sub nom. K & M Int'l, Inc. v. NDY Toy, LLC*, No. 1:13CV771, 2015 WL 5813194 (N.D. Ohio Oct. 5, 2015). Nevertheless, “[c]ourts frequently use ‘attorneys’ eyes only’ protective orders when confidential information is to be provided to a competitor.” *Worldwide Distribution, LLP v. Everlotus Indus. Corp.*, No. 1:16 MC 67, 2017 WL 553305, at *3 (N.D. Ohio Feb. 10, 2017) (citing cases); *see also K & M Int'l, Inc.*, 2015 WL 520969, at *4 (“[I]n general, courts uphold AEO designations only ‘when especially sensitive information is at issue or the information is to be provided to a competitor.’”) (quoting *Westbrook v. Charlie Sciara & Son Produce Co., Inc.*, 2008 WL 839745, at *4 (W.D. Tenn. Mar. 27, 2008)); *Safety Today, Inc. v. Roy*, No. 2:12-CV-510, 2013 WL 1282384, at *5 (S.D. Ohio Mar. 27, 2013) (finding “[a] protective order which designates the information obtained as ‘attorneys’ eyes only’ constitutes a practical and cost-effective way to protect” a producing party’s “interest in sensitive information from...its

competitor” while complying with discovery obligations). Courts must then “balance the difficulties imposed upon [a party] against the need to protect information from abuse by competitors.” *U.S. ex rel. Daugherty v. Bostwick Lab’s*, No. 1:08-CV-354, 2013 WL 3270355, at *2 (S.D. Ohio June 26, 2013). It is Respondent’s view that the difficulties imposed on Complainant to file its documents under seal are far outweighed by the risk to Respondent that its confidential business information be made public for its competitors to use as they see fit.

In accordance with Section 9.c of the Protective Order, Respondent has prepared Exhibit A, which responds to each of Complainant’s challenges with particularity.³ Here, if Complainant’s Motion is granted and the confidential designations are removed (and assuming Complainant’s motion to amend its complaint also is granted), Complainant will make public documents that, *inter alia*:

- contain commercially sensitive business information about OOCL *and its customers*;
- reveal business judgments and business decisions regarding new contract terms and conditions;
- expose OOCL rates and sensitive internal OOCL terms and conditions;
- relate to confidential corporate discussions regarding customer contracts;
- relate to corporate discussions regarding OOCL customer contracts;
- involve sensitive corporate deliberations, corporate meeting notes, and email exchanges between customers other than BBY; and
- were prepared in anticipation of litigation.

³ We note that six of the designations Complainant is challenging were to “Confidential” designations. Upon further review, we consider such “Confidential” designations are substantially similar to the “AEO” designations in Exhibit A and that all should be treated the same way, that is, as AEO designations.

See Exhibit A.⁴

D. The fact that BBY No Longer Exists Weighs in Favor of Denial

BBY declared bankruptcy and no longer exists. BBY therefore has no commercial interest in or benefit from the publication of the Confidential AEO material in question.

OOCL has met its burden of establishing that the information BBY seeks to remove designations from is sufficiently confidential or sensitive such that its disclosure might be harmful. The burden then shifts to BBY to establish that disclosure of a trade secret or other confidential information is relevant and necessary to the action. *Samsung Electronics America, Inc., Complainant v. Sm Line Corporation, Respondent.*, Docket No. 23-01, 2024 WL 866018, at *2 (Fed. Mar. Comm’n ALJ Feb. 22, 2024) (citing *A Major Difference, Inc. v. Wellspring Prod., LLC*, 243 F.R.D. 415, 416-17 (D. Colo. 2006)). BBY cannot do so. None of the documents BBY seeks to remove the Confidential or AEO designations from are relevant to or necessary for public disclosure to support BBY’s arguments or position. There is no reason why a Verified First Amended Complaint, if allowed, could not be filed under seal as is contemplated by Paragraph 4.c of the Protective Order.

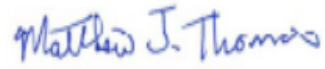
CONCLUSION

As set forth above, Respondent has shown why release of the documents in question, which are commercially sensitive, would prejudice Respondent and its professional reputation. By contrast, Complainant has failed to show that its Motion is timely, or why continued confidential treatment of the documents would cause it any prejudice or harm. The Presiding Officer should therefore deny the Motion.

⁴ Exhibit A hereto provides a response to Complainant’s Exhibit A, which includes Respondent’s explanation as to the basis for the designation of each document.

Dated: July 22, 2024

Respectfully submitted,



Matthew Thomas
BLANK ROME LLP
1825 Eye Street N.W.
Washington, DC 20006
(202) 772-5971
Matthew.Thomas@BlankRome.com

Keith B. Letourneau
BLANK ROME LLP
717 Texas Avenue, Suite 1400
Houston, Texas 77002
(713) 402-7640
Keith.Letourneau@BlankRome.com

Lauren B. Wilgus
BLANK ROME LLP
1271 Avenue of the Americas
New York, New York 10020
(212) 885-5348
Lauren.Wilgus@BlankRome.com

Rebecca A. Fenneman
JEFFREY/FENNEMAN LAW +
STRATEGY, PLLC
700 12th St., NW, Suite 700
Washington, DC 20005
Tel. 202-904-2301
RFenneman@JeffreyFenneman.com

Eric C. Jeffrey
JEFFREY/FENNEMAN LAW +
STRATEGY, PLLC
700 12th St., NW, Suite 700
Washington, DC 20005
Tel. 202-904-2301
EJeffrey@JeffreyFenneman.com